Global Value Rotation

ETF-REPLICABLE · DEVELOPED-MARKET EQUITIES · EUR

Objective

Earn the long-run premium of cheap equity markets while avoiding the worst of bear markets: hold the cheapest developed countries and sectors, and step aside into cash when world equities lose their trend.

Approach

Value decides what to hold; trend decides when. The value signal is slow and is given time to work through a holding buffer; the trend filter is checked every month.

Key facts

Strategy type	Systematic, long only, country and sector rotation
Benchmark	MSCI World Net EUR
Universe	14 MSCI countries · 11 MSCI World sectors
Holdings	8 UCITS ETFs at 12.5% (4 countries, 4 sectors), or cash
Rebalancing	Monthly
Value signal	E/P, B/P, dividend yield vs own 10-year history
Trend filter	MSCI World above its 10-month average
Currency	EUR, unhedged
Costs in backtest	0.10% per trade · 0.25%/yr ETF fees
Track record	Backtest since January 2006 · live from Nov 2026

Portfolio for October 2026

TREND FILTER: INVESTED

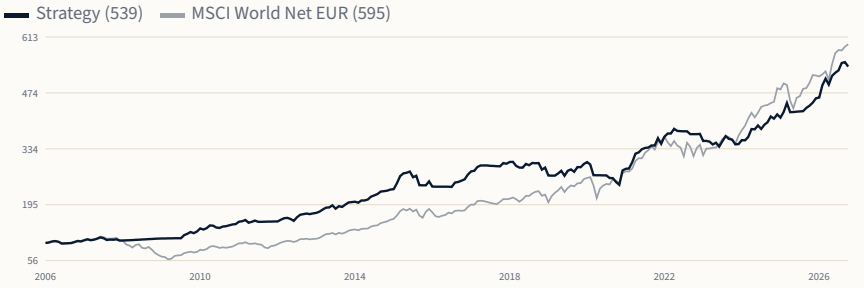
Sector	**Consumer Staples**	12.5%
Country	**Germany**	12.5%
Country	**France**	12.5%
Country	**Denmark**	12.5%
Sector	**Energy**	12.5%
Sector	**Utilities**	12.5%
Country	**Hong Kong**	12.5%
Sector	**Real Estate**	12.5%

Performance (%)

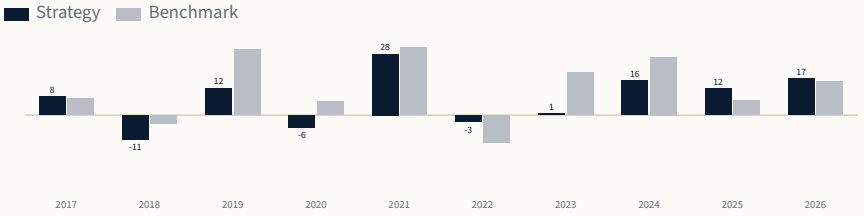
	1M	3M	YTD	1Y	3Y*	5Y*	10Y*	SINCE 2006*
Strategy	**−2.0%**	**1.8%**	**16.7%**	**22.1%**	**14.7%**	**9.5%**	**7.8%**	**8.5%**
Benchmark (MSCI World)	1.1%	2.5%	15.6%	19.2%	18.6%	12.3%	12.7%	9.0%
Difference	*−3.1%*	*−0.7%*	*+1.1%*	*+2.8%*	*−3.9%*	*−2.8%*	*−4.9%*	*−0.5%*

* annualised

Growth of 100 since December 2005



Calendar-year returns (%)



Risk statistics (since January 2006)

	STRATEGY	BENCHMARK
Volatility	9.3%	13.2%
Sharpe ratio	0.79	0.59
Maximum drawdown	−19.0%	−49.0%
Beta vs benchmark	0.41	1.00
Tracking error	10.8%	–
Months invested	78%	100%

Monthly comment

In September 2026, the strategy returned −2.0% against +1.1% for the benchmark. Since January 2026, it is +16.7% against +15.6%. Since 2006, 100 has grown to 539 against 595, with a worst loss of −19% against −49%. The trend filter is invested for the coming month.

How the strategy works

1. **Measure**
   At each month end, the earnings yield, book yield and dividend yield of 25 indices (14 countries, 11 sectors).
2. **Score**
   Each ratio is compared with the line's own 10-year history (z-score) and the three are averaged: a market is cheap when it is cheap versus its own past.
3. **Select and keep**
   Buy the 4 cheapest countries and the 4 cheapest sectors; keep a line while it stays among the 6 cheapest, so a value bet is not sold too early.
4. **Time**
   If MSCI World closes the month below its 10-month average, the whole portfolio moves to cash until the trend turns up again.

Why it should work

Cheap markets have tended to outperform over the following years (Asness, Moskowitz and Pedersen, 2013), but they can keep falling in a crash. A simple trend rule has historically cut equity drawdowns by stepping out of long bear markets (Faber, 2007). Combining the two keeps the value premium while limiting the losses that make value hard to hold.

Main risks

- Value can lag for years when expensive growth leads (2016-2026).
- The trend filter misses sharp V-shaped rebounds (2020): 30 switches in 20 years.
- Eight lines can overlap (a cheap sector and a cheap country can be the same bet).

Glossary

Sharpe ratio. Return above the euro money-market rate divided by volatility.

Maximum drawdown. Largest fall from a previous peak.

Tracking error. Volatility of the return difference with the benchmark.

z-score. Distance from the average, in standard deviations.

Important information

Student research project by Noah Doose (MSc Financial Markets & Investments, SKEMA Business School). Thoth Ledger is not an investment firm and offers no product or service. All figures are hypothetical backtest results of a model portfolio, computed on monthly index total returns in EUR with ETFs as proxies, net of the costs stated, before taxes. The rules were chosen among several pre-registered candidates; the clean out-of-sample test is the live record from November 2026. Past performance does not guarantee future returns. This document is not investment advice.